Howmet Aerospace Inc. (NYSE: HWM)

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BUY — Initiating Coverage | Aerospace & Defense

November 1, 2025

Rating	BUY	**52-Week Range**	$105.94 – $211.95
Price Target (1-yr)	**$260.04**	**Market Capitalization**	~$81.5B
Current Price (Oct 30, 2025)	$201.77	**Enterprise Value**	~$84.0B
Total Return	+28.9%	**Net Debt / Adj. EBITDA**	~1.1x
Diluted Shares	~404M	**Free Cash Flow (Q3'25)**	$423M
Dividend Yield	~0.2%	**Adj. EBITDA Margin (Q3'25)**	~30%

Recommendation

We initiate coverage of Howmet Aerospace with a BUY rating and a one-year price target of $260.04, implying ~29% total return from the October 30, 2025 close of $201.77. Howmet is a premium-quality compounder, not a value play. Our conviction rests on three pillars: (1) durable, structurally expanding margins converting growth into outsized earnings and free cash flow; (2) leadership in the Engine Products value chain, where an aftermarket-spares super-cycle and rising engine build rates create multi-year visibility; and (3) a vertically integrated superalloy and titanium moat that is exceptionally hard to replicate. We value Howmet on a DCF triangulated against engine-levered peers, anchored by a peer-corroborated terminal multiple.

Business Overview

Howmet is a global leader in engineered metal products: lightweight, high-performance components critical to commercial aerospace, defense, and industrial gas-turbine applications. It operates four segments: Engine Products (half of revenue), investment-cast airfoils and structural castings for jet engines and gas turbines; Fastening Systems, proprietary aerospace and industrial fasteners; Engineered Structures, titanium and aluminum airframe structures; and Forged Wheels, aluminum commercial-transportation wheels. Commercial aerospace is ~50% of sales, defense aerospace in high-teens, and the rest across commercial transportation and industrial markets.

Investment Thesis

I. Earnings Power Driven by Margin Expansion

Howmet's defining feature is the quality and trajectory of its margins. Adjusted EBITDA margin expanded from ~28% in 2024 toward ~30% by Q3 2025, with incremental margins on new volume running well above the corporate average. This has been driven by favorable mix, including spares and new-engine content, pricing power on sole-sourced parts, and productivity from vertical integration. Earnings and cash flow are compounding faster than revenue: Howmet generated $423M of free cash flow in Q3 2025, returned capital aggressively through over $600M of YTD buybacks and a 20% dividend increase, and still funded more than $330M of YTD capacity expansion. Sustained margin expansion, rather than a multiple re-rating, is the primary value driver.

II. Engine Products at the Center of a Multi-Year Demand Cycle

Engine Products is where growth concentrates, and the demand backdrop is durable. OEM production constraints have extended fleet service lives, driving an aftermarket-spares super-cycle with spares being ~17% of revenue (management targeting ~20%) at premium margins. Howmet supplies hot-section castings across the highest-volume next-generation programs (CFM LEAP, Pratt & Whitney GTF, GE9X), benefiting from both rising new-build rates as Boeing and Airbus recover output and the long tail of spares on an aging fleet. Industrial gas-turbine demand tied to data-center power generation is an emerging adjacency that leverages the same superalloy casting capabilities.

III. Two Structural Demand Engines: Commercial Aerospace and Global Defense

Commercial aviation is in a multi-year expansion led by Asia-Pacific and the Middle East, with the global aftermarket projected to grow from $53.1B in 2024 to $97.2B by 2033 (~7.9% CAGR). Record global defense budgets (USD 2.72T in 2024) add a less-correlated growth vector via F-35 engine spares and legacy fighter programs. Diversification across commercial, defense, and industrial end-markets dampens single-market cyclicality.

IV. A Vertically Integrated, Hard-to-Replicate Moat

Howmet holds #1 global positions in aerospace fastening systems and forged wheels and leads in cast superalloy components. Its capabilities span forging, casting, machining, coatings, and advanced materials across titanium, nickel, and aluminum. The jet-engine value chain is among the world's highest-barrier industries: FAA and OEM qualification takes years, displacement risk is low over a multi-decade airframe life, and roughly 1,170 granted and pending patents protect proprietary processes. This underpins durable pricing power and the margin profile above.

Industry Overview

Aerospace and defense is benefiting from rising government appropriations, geopolitical tension, and the commercial-aviation recovery. U.S. defense spending is projected to approach $1T annually by the mid-2030s, while commercial aviation strengthens on Asia-Pacific traffic and fleet renewal, with large OEM backlogs supporting visibility. Demand for lightweight titanium/nickel alloys and composites is forecast to reach roughly $128B by 2035 (~10.3% CAGR) as OEMs prioritize fuel efficiency and emissions reduction.

Valuation

We value Howmet 100% on a DCF, triangulated against an engine-levered peer set. Within the DCF we blend two terminal approaches — 35% perpetuity growth (3.5% terminal) and 65% exit multiple (28.5x EV/EBITDA on 2030E) — reflecting the appropriateness of a multiple-based terminal value for a business still mid-secular-ramp. Cash flows are discounted at a 9.2% WACC (4.0% risk-free, 1.2 beta, 4.5% equity risk premium giving a 9.85% cost of equity; 3.4% after-tax cost of debt; ~96% equity weighting).

Methodology	Weight	Implied Value
DCF — Perpetuity growth (g = 3.5%)	35%	$166.43
DCF — Exit multiple (28.5x EV/EBITDA on 2030E)	65%	$310.44
Comparable companies (corroborative)	0%	$134 – $167
Blended Price Target	**100%**	**$260.04**

Comparables corroborate the terminal multiple. With limited pure-play comparables, we assign comps 0% explicit weight, but the engine-levered peer set anchors the exit multiple. Peers trade at a ~23x median CY2025E EV/EBITDA (low-20s for Safran, TransDigm, Woodward, and superalloy producers Carpenter and ATI, up to ~38x for HEICO). Howmet's ~30% margins top the set and the stock trades at ~34x; our 28.5x terminal multiple is a premium to the median but a discount to Howmet's own level and to HEICO, embedding modest compression as growth matures.

Company	Relevance	EV/EBITDA (CY25E)	EBITDA margin
GE Aerospace	Engine / propulsion	27.9x	26%
Safran S.A.	Engine / propulsion	21.9x	18%
TransDigm Group	Engine / propulsion	22.8x	52%
HEICO Corp.	Engine / propulsion	37.9x	27%
Woodward Inc.	Engine / propulsion	22.7x	19%
Carpenter Technology	Aero specialty metals	21.3x	23%
ATI Inc.	Aero specialty metals	21.8x	18%
Peer median		**22.7x**	
Howmet Aerospace (HWM)	Subject company	**33.6x**	**~30%**
DCF terminal multiple applied (2030E)		**28.5x**	

Scenario analysis. Our base case ($260.04) sits between a bear case encompassing higher discount rate and a lower terminal multiple leaving the stock roughly flat, and a bull case of sustained margin expansion and a premium multiple. **The asymmetry is favorable: limited downside against meaningful upside.**

Scenario	Key assumptions	Target	Return
Bear	WACC 9.7%, 24x exit, g 3.0%, 50/50 weight	$201	-0.6%
Base	WACC 9.2%, 28.5x exit, g 3.5%, 35/65 weight	**$260.04**	**+28.9%**
Bull	WACC 8.7%, 32x exit, g 4.0%, 25/75 weight	$314	+55.8%

On valuation: Howmet is not statistically cheap at ~34x EV/EBITDA and ~58x earnings. Our case is that the market under-appreciates the durability of its margin expansion and the cash-flow power of the spares super-cycle. Value is created by compounding, not by re-rating an undervalued asset.

Risks

- **Valuation / multiple risk:** at ~34x EV/EBITDA the shares discount continued execution; any growth or margin disappointment could compress the multiple sharply.
- **Customer concentration:** revenue is concentrated in a few OEMs (Boeing, Airbus, GE Aerospace, RTX/Pratt, Lockheed Martin); program delays or rate cuts would have outsized impact.
- **Input and trade exposure:** tariffs and concentration in titanium/nickel supply (including non-U.S. sources) create cost and availability risk.
- **Cyclicality:** a downturn in commercial aerospace or commercial transportation would pressure volumes and the premium multiple.

Catalysts

- **Backlog & aftermarket:** rising Boeing/Airbus build rates plus aging-fleet maintenance lift spares and engine content, supporting upward guidance revisions and earnings beats.
- **Capital returns:** continued buybacks and dividend growth, backed by strong free cash flow, reduce share count and spotlight the cash-flow story.
- **IGT / data centers:** incremental orders for power-generation gas turbines would validate a new, higher-growth adjacency.

ESG Considerations

Howmet's lightweight components improve aircraft fuel efficiency and lower emissions; the company has met or exceeded its climate targets and maintains robust supply-chain oversight and governance. End-use monitoring in defense applications remains an inherent sector consideration.

Sources: Company filings and Q3 2025 results, Capital IQ, Bloomberg, Yahoo Finance, broker estimates; peer multiples on a CY2025E basis. Dated November 1, 2025